NATIONAL ASSEMBLY, 7TH PARLIAMENT

PARLIAMENTARY STANDING COMMITTEE ON ECONOMICS AND PUBLIC ADMINISTRATION

REPORT ON A MOTION

TITLED

"THE NOTION OF ONE NAMIBIA ONE NATION AND HOW IT RELATES TO VARIOUS OPPORTUNITIES, EQUITABLE WEALTH DISTRIBUTION AND RESOURCE ALLOCATION".

Report No. 12 of 2025

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COMMITTEE MANDATE

The mandate of any parliamentary standing committees in general is to consider, inquire into, or deal with particular matters or motions in greater detail and as for the Parliamentary Standing Committee on Economics and Public Administration, its mandate is to monitor, enquire and make recommendations to the National Assembly on matters that may directly or indirectly affect the economy and public administration of Namibia and its people.

COMMITTEE COMPOSITION

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2. Hon. Mathias Mbundu (Deputy Chairperson)
3. Hon. Apius !Auchab
4. Hon. Dr Tobie Aupindi
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18. Hon. Hilaria Mukapuli
19. Hon. Fennie Nanyeni
20. Hon. Kennedy Shekupakela
21. Hon. Nico Smit
22. Hon. Jennifer Van Den Heever

Executive Summary

The Motion (referred to as the Motion) tabled by Hon. Kavekotora on October 2022 based on the observation that resource allocation in Namibia appears or seems to be skewed - economic, education and employment opportunities appear to favour a specific segment of the Namibian population across the board has led to a diagnostics study on inequality in Namibia.

The study provide a comprehensive diagnosis of the nature and sources of inequality in Namibia and based on the findings, the study provided recommendations and measures to accelerate the reduction of inequality in the country. The study utilized a mix of qualitative and quantitative approaches to diagnose and analyse the situation described in the motion to reach valid and unbiased conclusion. Some of the key findings of the survey includes a clear regional imbalance in the distribution of economic opportunities (particularly when it comes to the allocation of resources, wealth, development) across different regions in Namibia. This disparity is reflected in the contrast between urban and rural areas, as well as between various geographical regions. These regional disparities raise equity concerns because they contribute to overall inequality in the country, and they are linked to inequality of opportunities. The survey also found that such disparities may also have harmful implications for economic efficiency, as limited opportunities for those stuck in the wrong place lead to the underutilization of potential and constrain overall growth.

The survey also found severe labour market outcome imbalances in the country. For instance, the survey found that Labour force participation rates (LFPRs) in the country are unequal – such that some regions have a higher LFPR (these regions have high supply of labour), and some have lower LPFR. Furthermore, the survey found that there is disparity in the employment absorption rate (employment-to-population ratios) amongst all regions in the country. This imbalance means that in some regions, job seekers are absorbed faster than in other regions. This disparity creates adverse mobility dynamics – which distort the labour market further. Unequal land ownership, in Namibia was also found to be perpetuating the historically high levels of income inequality. Land is a key asset, especially for poor people in rural areas. The unequal distribution of agricultural land, which is deeply rooted in the history of the country, contributes significantly to inequality.

Given the above diagnosis, addressing inequality in opportunities, wealth, employment, and resource allocations has become extremely important and an urgent necessity for the Namibia government's development agenda and priorities. Building on this survey, the report proposes four policy areas for accelerating the reduction in inequality in Namibia and promote the notion of one Namibia One Nation: (a) promoting equality of opportunity at regional level, (b) addressing the highly skewed distribution and allocation of opportunities and resources, (c) addressing inequality in educational funding, and (d) strengthening land redistribution efforts.

The report further makes the following specific recommendation aimed at tackling the observed disparities in resource distribution and allocation and resulting inequalities and to achieve a more equitable and inclusive allocation of all opportunities:

- Government must scale-up investment in regional infrastructure as one of the key strategies to bring equalized development in regions.
- Government must first and foremost understand the local context of the unemployment situation, challenges and remedies.
- Government develop merit-based employment policies couples with Proportional Allocation (quota) system.
- Government must remove all barriers to educational funding access and improve efficiencies in the system.
- Government must increase funding to those regions that are receiving fewer budgetary allocations based on a re-allocation formular informed by a needs assessment framework.
- Government must allocate more land to the previously disadvantaged communities.

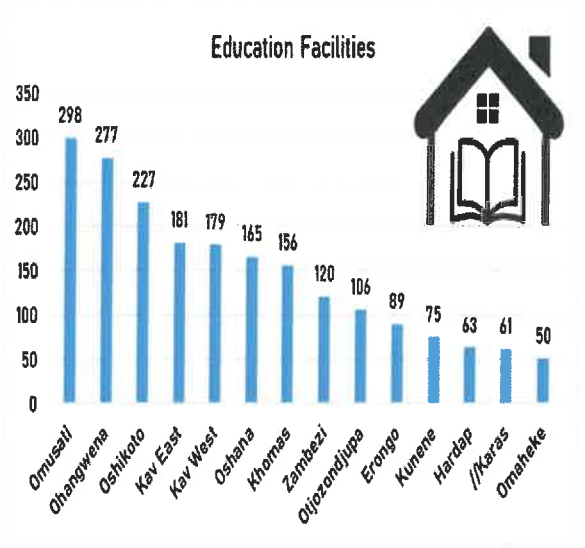
This report demonstrates the importance of nation building and calls for intentional efforts from Government to promote the notion of One Namibia and One Nation – beyond just words. Nation-building which in a broader sense refers to the process through which the state cultivates a shared sense of identity, purpose, and responsibility among its citizens is crucial at this stage. While the state have made significant efforts in the past using its political and legal institutions to foster social cohesion, economic development, and national unity, more still needs to be done. While politics is central to this process, there is a need for a solid framework within which laws promote oneness must be made, public resources to be allocated, and national priorities to be set.

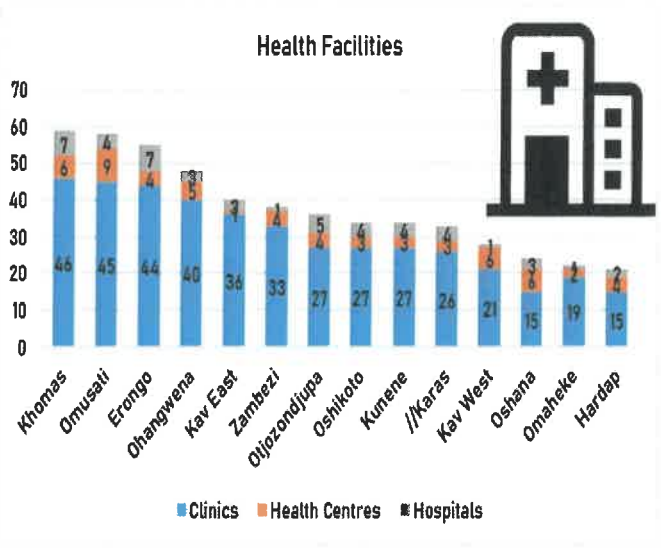
ACRONYMS

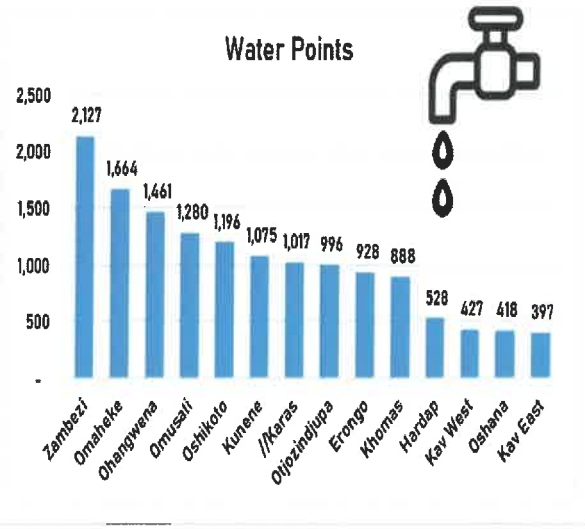
DGC	:	Deputy Commissioner General
EPDM	:	Enhancing Participatory Democracy in Namibia
EPR	:	Employment to Population Ratio
LFPR	:	Labour Force Participation Ratio
MIT	:	Ministry of Industrialisation and Trade
NAMPOL	:	Namibia Police
NASFAF	:	Namibia Student Financial Assistance Fund
NCS	:	Namibia Correctional Service
NDF	:	Namibia Defence Force
NPC	:	National Planning Commission
O/M/As	:	Offices/Ministries/Agencies
OPM	:	Office of the Prime Minister
PEs	:	Public Enterprises
PPPs	:	Public Private Partnerships
SMEs	:	Small and Medium Enterprises
SOEs	:	State Owned Enterprises
STEM	:	Science, Technology, Engineering, and Mathematics

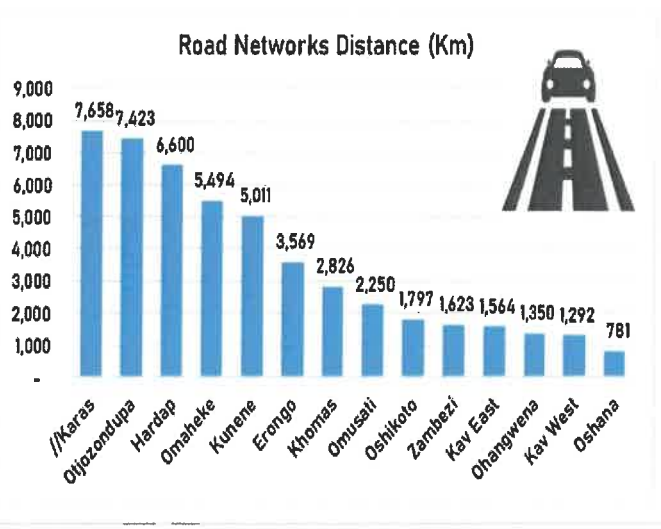
1. INTRODUCTION

A selection of Socio-economic indicators at a glance shows the disparity in the distribution of basic facilities including education, health, water, and road infrastructure which are prerequisites for socio-economic advancement and the correlation between the distribution of facilities and multi-dimensional poverty in Namibia. The type of distribution observed in these indicators give cause for concern and is known to adversely affect growth and development.









2. BACKGROUND

Hon. Mike Kavekotora, former Member of Parliament presented a Motion that was referred to this Standing Committee in October 2022, in which he called on the August House to *"discuss, evaluate and deliberate"* on the notion of ***One Namibia One Nation*** and how it relates to various

opportunities, equitable wealth distribution and resource allocation. The Motion was subsequently referred to the Parliamentary Standing Committee on Economics and Public Administration on 16 June 2022 for consideration and scrutiny.

The motion emanated from a worrisome trend observed by Hon. Kavekotora where resource allocation appears or seems to be skewed - economic, education and employment opportunities appear to favour a specific segment of the Namibian population across the board. In particular, the Member of Parliament cited, amongst other things, the skewed national budget allocation of an estimated 3% to Ohangwena region being the most populated region in the country.

He also made reference to inequalities and non-inclusiveness in the following: Appointment of senior officers in the Army; employment opportunities in general; scholarship and financial assistance opportunities; appointment in senior positions within the public service and state-owned enterprises in particular.

According to the Hon. Member, the trend is unfair, unequitable and skewed hence not congruent to the demographic reality of the Namibian population and if not addressed the consequences will lead to unwanted outcomes. He further stated "...we must take cognizance of the fact that in terms of the population, we do not have the same numbers, but, we must also take cognizance of that there is no single tribal [ethnic] group in Namibia with 90% of the total population." Therefore, in the true spirit of one Namibia one Nation, the Hon. Member called for an intervention whereby the August House was called upon to discuss, evaluate and deliberate on the notion of ***"One Namibia One Nation"*** and how it relates to various opportunities, equitable wealth distribution and resource allocation.

Although the Constitution of the Republic in Article 23 (2) makes provision for the social, economic and educational advancement of all Namibians, that constitutional provision is not implemented to the letter and spirit. Other legislation such as the Affirmative Action (Employment) Act of 1998, also speaks to equal opportunities, however observed policy implementation outcomes in the country do not yield results consistent with the constitutional and legislative provisions on equity.

He appealed to Members of the Standing Committee that the Motion should be regarded as a need for paradigm shift, particularly on above-captioned socio-economic issues in the country. He advised the Committee to do the validation, verification and oversight exercise, quantitively and qualitatively and to acknowledge that social justice issues are contentious and that it may even take five years or more before any tangible results are produced. He stated as follows: "The development of an equitable system will take time and I do not think that should be work of the Committee per se. [the work of the Committee] must lead into that, but there must be a body [in Government] somehow, that will start contextualizing and implementing the recommendations of the Committee. Anything that the Government does, will have to comply with an equitable way of distributing wealth, resources and opportunities"

3. TERMS OF REFERENCE/OBJECTIVES

The Standing Committee on Economics and Public Administration has the duty to:

a) consider any matter it deems relevant with regard to the Offices, Ministries, Agencies, and all State-owned Enterprises and Parastatals responsible for the following category of affairs which, inter alia, include:
   - Finance
   - National Planning
   - Industrialisation, Trade and SME Development
   - Public Enterprises
   - Works and Transport

and may for that purpose consult and liaise with the relevant institutions.

b) monitor, enquire into, and make recommendations to the Assembly on matters that may directly or indirectly affect the economy of the country;
c) operate with a vision to promote infrastructure development, economic planning and development and public administration in Namibia;
d) review and advise the National Assembly on the activities and matters related to the State-Owned Enterprises and Parastatals;
e) enquire into and monitor international protocols, conventions and agreements that may affect the Namibian economy and public administration and where necessary make recommendations to the National Assembly;
f) receive directives to facilitate the implementation and administration of laws administered by Offices, Ministries, Agencies or State Owned Enterprises and Parastatals in Namibia; and
g) perform such other functions, tasks, and duties relating to Parliamentary supervision of such Offices, Ministries, Agencies or State Owned Enterprises and Parastatals as may be prescribed by the Assembly or in terms of an Act of Parliament.

4. METHODOLOGY

The diverse nature and scope of the assignment[1], required a mix of qualitative and quantitative approaches to diagnose and analyze the situation described to reach valid and unbiased conclusion.

4.1. Meetings and consultations

To better understand and confirm the assignment contextual background, work scope, governance and institutional context of the assignment and strategic issues to be considered in the assignment as well as secure agreement on the proposed methodology, an inception meeting with the Members

[1] The Committee requested the technical support of the EPDN Programme and the Consultant

of the Standing Committee of Economics and Public Administration of National Assembly was held on 01 November 2023, the meeting pointed to the other key stakeholders that may be consulted during the course of the investigation. Following this engagement, a brief review of the current scenario was undertaken to help the Standing Committee better understand the issues and the existing links between the national policy planning and fiscal frameworks to determine their alignment to the subject matter. The assumption is that these policy interventions were deemed to rectify historical imbalance resulting from cultural practices and the combined legacies of colonial administration and apartheid. To effectively examine the matter, special data collection and analytical tools were developed during the process whereas data was collected/gathered and analyzed, presented to give the Standing Committee the real situation as it pertains on the ground. This was followed by a detailed literature review of the various important documentation particularly relevant to distributive justice and equity in the allocation of national resources and opportunities framework in order to identify key issues.

4.2. Close Interactions and Collaborations with the Committee Secretariat

Given the nature of the assignment and to ensure a properly guided investigation process, the Chairperson of the Committee as well as the Secretariat were regularly consulted throughout the assignment. Due to the sensitivity of some of the information required Committee Secretariat was relied upon to use the parliamentary protocols to facilitate the acquisition of data, through the Office of the Secretary. Strategic Sessions were held with MPs of the Standing Committee and other key stakeholders to present findings and seek their input towards the consolidation of the findings of the investigation. The consultant ensured that all the inputs from key stakeholders were sufficiently addressed and stakeholders takes full ownership of the deliverables. These sessions also provided an opportunity to solicit any new and important inputs to the draft Report before finalisation of the Standing Committee Report and final submission to Parliament.

5. PURPOSE OF THE REPORT

The purpose of this report is to provide feedback to the National Assembly on the discussions, evaluations and deliberations on the Motion. The report presents our findings, conclusions and recommendations after an exhaustive review of statistical indicators and survey data on different socio-economic parameter that measure welfare and equitable development in Namibia. The report explores the *Motion on the notion of One Namibia One Nation* and how it relates to various opportunities, equitable wealth distribution and resource allocation in Namibia. The report makes recommendations for consideration, discussion and adoption by the National Assembly.

6. STATISTICAL INDICATORS AND EXPLORATION OF SURVEY DATA

The Committee examined different aspects and factors influencing economic and wealth distribution and supplemented the information generated by a survey of management positions in key public service institutions such as O/M/As and security cluster. The distribution of

management position by region is particularly important because not only does it signals the wage income and wealth variation in Namibia, but also the extent of equity and diversity of the public service representation.

6.1.Economic Opportunities

In this analysis, economic opportunities refer to available chances for people to improve their standard of living through employment, education, financial assistance, national budget and access to resources, etc. It can also mean available opportunities for businesses to increase their profitability, but such analysis was beyond the scope of this analysis.

6.1.1. Regional Imbalance

Data examined shows the existence of a stack regional imbalance in broad economic opportunities and development in the country. Regional Imbalance is the unequal distribution of resources, wealth, development, and opportunity across different regions within a country. This disparity according to the data is mainly reflected in the contrast between urban and rural areas, as well as between various geographical regions of Namibia. A clear case in point is the concentration of industries, employment opportunities, and wealth in certain regions of the country. Our analysis have also brought to the fore the role played by factors like population density, educational attainment, and government policies in the perpetuation of this divergence.

The roots of regional imbalance can be traced back to the colonial era where the regimes introduced modern industries primarily in regions with accessibility to ports or raw materials and created industrial hubs such as the town of Walvis Bay and Swakopmund. Furthermore, the subsequent regimes directed development efforts to mining towns like Oranjemund, Arandis and Tsumeb. Post-independence, attempts were made to rectify this imbalance through the establishment of public sector industries in backward regions. However, these attempts had limited success, as the legacy of colonial policies and the complexity of regional disparities posed significant challenges. Moreover, the era of liberalization and globalization further intensified regional imbalances, with industries preferring regions with established infrastructure and skilled manpower.

Impact of Regional Imbalance

The impact of regional imbalance has seeped into every layer of the Namibian society and economy, resulting in a complex network of implications. It goes far beyond mere economic disparity, influencing social dynamics, demographic trends, and the environment. Recognizing these far-reaching impacts can help frame comprehensive and sustainable strategies to mitigate regional imbalance and foster balanced, inclusive growth.

1. **Economic Consequences**

At the economic level, regional imbalance contributes to unequal wealth distribution, creating prosperous regions while others lag in poverty. This dichotomy leads to economic inefficiency and

can significantly stymie national growth. It also results in skewed investment patterns, as businesses tend to favor prosperous regions, further deepening the economic divide.

2. **Social Ramifications**

On the social front, regional imbalance fosters discontent and can fuel tensions between different regions, thereby threatening social harmony. Regions left behind may feel marginalized and ignored, fostering sentiments of injustice and social inequality. These feelings can precipitate unrest and conflict, destabilizing societal cohesion.

3. **Demographic Implications**

A significant demographic implication of regional imbalance is migration. People from less developed regions often migrate to prosperous areas in search of better opportunities, leading to overpopulation and pressure on resources in developed regions, and depopulation in less developed ones. This demographic shift has substantial implications for urban planning, housing, and social services.

4. **Environmental Impact**

Often overlooked, the environmental impact of regional imbalance can be profound. The excessive concentration of industries and population in specific areas leads to environmental degradation, including air and water pollution and depletion of natural resources. Conversely, neglected regions might suffer from underutilization of their environmental resources.

6.1.2. Labour Force Participation Rate

The labour force participation rate (LFPR) – a measure of an economy's active workforce – the proportion of the working-age population (i.e., ages 16 and older) that is either working or actively looking for work is an important indicator of labour market conditions in the country. It is an important indicator because it represents the relative amount of labor resources available to produce goods and services. The regional LFPR profile indicates an unequal distribution of the available labour force in the country. There is a clear distinction between those regions that have a higher LFPR (high supply of labour) and those with lower LPFR. The central and coastal regions having a higher LFPR compared to the northern or southern regions. This can be attributed to the concentration of large industries in the central and coastal regions compared to the other regions. This has a bearing in the migration dynamics of the country as well. It means a high number of the working age group have or are most likely to migrate to these regions in search of employment opportunities. Erongo region recorded the highest LFPR of 80.9 percent followed by Khomas and Otjozondjupa regions with 76.8 and 76.1 percent respectively. The regions with the lowest LFPR includes Ohangwena (62.2%) and Kavango East (63.5%) regions.

6.1.3. Employment to Population Ratio (EPR)

The employment-to-population ratio, also called employment absorption rate is a useful indicator for examining the ability of persons with different categories to be employed or absorbed by employers. The stagnant or decline in the employment ratio points to the need for structural changes to drive new growth areas for augmenting the job creation potential of the country. At national or regional level, this indicator indicates how efficiently an economy or region provides jobs for people who want to work. Data on this indicator collected from the LFS (2018) suggest that there are regional disparities in terms of regions that are efficient in providing jobs for job seekers in Namibia. The result are similar to the previous indicator – in the sense that the central and coastal regions are more efficient compared to the other regions. Overall Erongo region reported the highest EPR of 56.9 percent, followed by Khomas, Omusati, //Kharas and Otjozondjupa region. The region with the lowest EPR was Kavango East, which reported the lowest EPR of 32.9 percent.

6.1.4. Senior Position Appointments[2]

When it comes to employment opportunities in the public sector for all Namibians, the data collected from the Office of the Prime Minister show a weak representation of all diverse regions of Namibia. The analysis suggests that the majority of top office bearers across the top structure of government may not be all inclusive, mindful of the diversity of regional distribution of human resources in the country.

6.1.5. Senior positions in the Security cluster

Regarding the fairness and equal representation in the appointment of all Namibians in senior positions in the security clusters, the data presents a skewed regional representation of the nation as all incumbents are male.

6.1.6. Senior positions in the State owned Enterprises

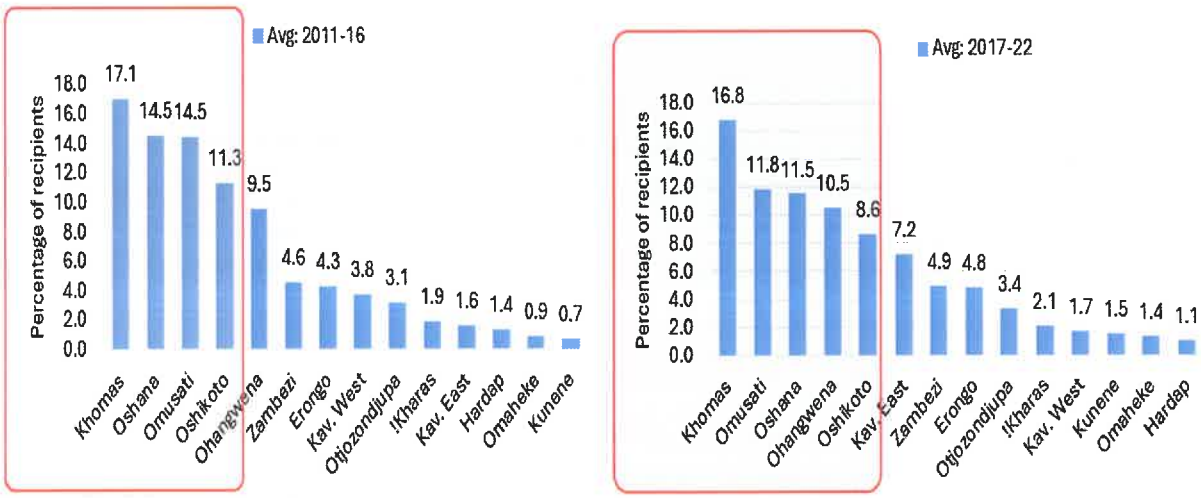
The Ministry of Finance and Public Enterprises (MFPE) operates a number of programmes to align, integrate and oversee the functions and responsibilities of the over 98 parastatals, and to benefit from synergies between the State-Owned Companies. Leaders and senior officials in these SOEs control and direct significant amount of economic interest that have a strong bearing on the national socio-economic dynamic – thus equitable and fairness in the appointment process remains crucial. The analysis reveals that similar to the appointments of senior government positions, the executive appointments in the State-Owned Enterprises (SOEs) also present a regionally imbalance picture where majority of incumbents appears to be from certain regions of the country while other regions are less represented or sometimes not represented at all.

[2] It was beyond the scope of this assignment to examine and analyse the role of educational attainments, ability to migrate and perhaps affinity for white-collar jobs rather than business and commercial ventures in the access to the employment opportunities in the SOE.

6.1.7. Scholarships & Financial Assistance

Education is often touted as the "great equalizer because it offers individuals the opportunity to transcend socioeconomic barriers and achieve upward mobility. However, the reality from the data is far from equitable. In particular, disparities in educational financing persist. When it comes to scholarship opportunities provided both by the public and private sector, the ideal situation is that these opportunities should be availed equally and fairly to all Namibians reflecting the diversity of the people of Namibia. However, an analysis of the scholarship and financial analysis shows a disproportionate allocation along regional lines that does not correlate and align with the regional educational performance of eligible beneficiaries of this assistance.

NASFAF recipients (in %) from Regions (2011-2022)



Regional Educational Performance

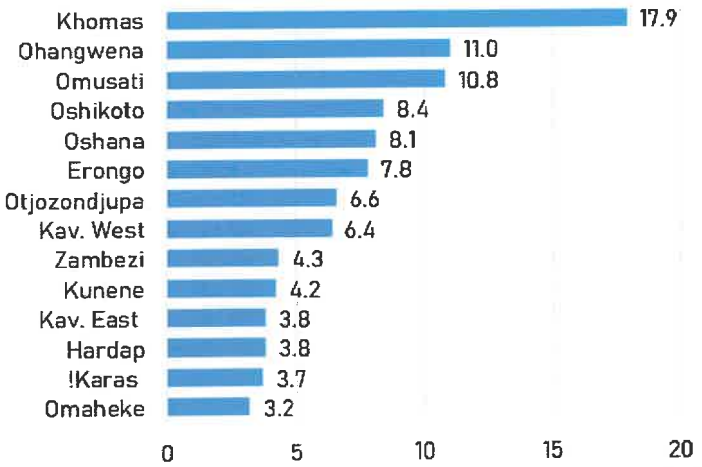
The top 5 performing regions during the period 2011-2016 and 2022-2023 which includes Erongo, Oshikoto, Kavango, Hardap and //Kharas region does not feature prominently amongst the top 5 regionals recipients of NASFAF despite their remarkable performance during the period under review.

Regional rankings of Ordinary Grade 12 National Examinations performance

Position	1	2	3	4	5	6	7	8	9	10	11	12	13	14
2011	Erongo	Otjozondjupa	Kavango	Khomas	Oshikoto	Zambezi	Hardap	Ohangwena	!Karas	Omusati	Oshana	Omaheke	Kunene	
2012	Erongo	Oshikoto	Hardap	Kavango	Ohangwena	Khomas	Otjozondjupa	Zambezi	Omusati	Kunene	Oshana	Omaheke	!Karas	
2013	Erongo	Oshikoto	Otjozondjupa	Ohangwena	Kavango	Khomas	Hardap	Omusati	Omaheke	!Karas	Oshana	Kunene	Zambezi	
2014	Erongo	Oshikoto	Ohangwena	Kav. East	Otjozondjupa	Hardap	Khomas	Omusati	Oshana	Oshana	Omusati	Omaheke	Kav. West	Zambezi
2015	Kav. East	Oshikoto	Erongo	Otjozondjupa	Khomas	Oshikoto	Hardap	Ohangwena	Kunene	Kav. West	Omusati	!Kharas	Oshana	Zambezi
2016	Erongo	Otjozondjupa	Kav. East	Khomas	Ohangwena	Oshikoto	Hardap	Omusati	Kav. West	!Kharas			Oshana	Zambezi
2022	Kav. East	!Kharas	Khomas	Erongo	Otjozondjupa	Oshana	Kav. West	Oshikoto	Zambezi	Omaheke	Hardap	Omusati	Ohangwena	Kunene
2023	Khomas	Kav. East	!Kharas	Oshikoto	Kav. West	Erongo	Otjozondjupa	Omusati	Oshana	Zambezi	Ohangwena	Hardap	Omaheke	Kunene

The most likely or plausible explanation of the NASFAF allocation is the regional population share (proportions). The top recipients of NASFAF by number of beneficiaries includes Khomas, Oshana, Omusati, Oshikoto and Ohangwena are amongst the regions with largest population by size in the country. Further details of the Funding Criteria are found on *Annexure A* of the report.

Regional population size (%)



6.1.8. Equitable Wealth Allocation

The desired outcome when it comes to resource allocation is that at all times it must be equitable, inclusive and fair when it comes to the national development budget and access to land in the Namibian society, always considering and reflecting the diversity of the Namibian nation.

6.1.8.1.National Budget[3]

In terms of the national budget, the analysis shows that allocation of the capital budget – which is the component of the budget designed for development of infrastructure and investment remains disproportionate on regional lines. The allocation of the capital budget does not seem to be correlated with the population density (budget per capita).

The capital budget outlay which does not correlate to population density is concerning. This is because regions with high population density would be expected to be better funded than those with low density because their rising population creates high demand for social amenities and may lead to other pressures such as high unemployment and hence an expectation of high capital budget outlays in those regions.

The disproportionate allocation and distribution of government development budget and empowerment incentives in the form of projects have a negative bearing on the poverty and unemployment profiles of those regions. Except for Ohangwena and Khomas regions, Oshana, Omusati, Zambezi and Kavango East/west regions with their high population density remain amongst the lowly funded regions from the capital budget. Consequently, these regions are amongst the regions with high poverty levels and high unemployment rates compared to those regions with higher capital outlays.

6.1.8.2.Land Ownership

Land ownership remains highly unequal in Namibia and this is due to a legacy of the lopsided distribution of arable land during the colonial era. The land reform programmes geared towards addressing the skewed land ownership between the previously disadvantaged and advantaged Namibian has not yielded desired results. Of the 39 728 364 million hectares of freehold agricultural (commercial) land, 27 863 813 hectares (70.1%) is still owned by previously advantaged Namibians. Previously disadvantaged Namibians only owned 16% of farms including farms acquired through the Agricultural Bank of Namibia's government Affirmative Action Loan Scheme (AALS) and farms privately funded through commercial banks. Communal land is one of the land tenure systems in Namibia but it is not effective enough in ensuring access to land by majority Namibian, The other system is freehold land tenure system – which also has challenges.

The disproportionate and skewed land ownership is compounded by dominant presence of the foreign land owners. A total of 250 farms and farm portions, covering 1 206 017 hectares, are owned by foreign nationals. It is worth mentioning that 639 667 hectares (53.0%) of the land is owned by German nationals, followed by South Africans with 353 875 hectares (29.3%) and Americans with 82 024 hectares (6.8%).

[3] For analytical purpose, the projects referred to in the analysis were those currently funded and reflected as such in the Development Budget Document.

7. FINDINGS

1. The survey found that there is a clear regional imbalance in the distribution of economic opportunities (particularly when it comes to the allocation of resources, wealth, development) across different regions in Namibia. This disparity is reflected in the contrast between urban and rural areas, as well as between various geographical regions. These regional disparities raise equity concerns because they contribute to overall inequality in the country, and they are linked to inequality of opportunities. Regional disparities may also have harmful implications for economic efficiency, as limited opportunities for those stuck in the wrong place lead to the underutilization of potential and constrain overall growth. Data shows that regional imbalances have Economic Consequences that contributes to unequal wealth distribution, creating prosperous regions while others lag in poverty. Regional disparities also has social ramifications that fosters discontent and can fuel tensions between different regions, thereby threatening social harmony. Furthermore, regional disparities has significant demographic implication related to migration, where people from less developed regions often migrate to prosperous areas. Finally, regional imbalance has one often overlooked impact, the environmental impact where excessive concentration of industries and population in specific areas leads to environmental degradation, including air and water pollution and depletion of natural resources.
2. The survey also found that Labour force participation rates (LFPRs) in the country are unequal – such that some regions have a higher LFPR (these regions have high supply of labour), and some have lower LPFR. This inequality is driven by the unequal concentration of industries that leads to unequal employment opportunities in certain regions often leading to other regions to have high LFPRs compared to the other regions.
3. The survey further found that there is disparity in the employment absorption rate (employment-to-population ratios) amongst all regions in the country. This imbalance means that in some regions, job seekers are absorbed faster than in other regions. This disparity creates adverse mobility dynamics – which distort the labour market further.
4. The survey also found that inclusivity and diversity is lacking in the appointments of senior government positions. This was confirmed by the data collected from the Office of the Prime Minister (OPM). This is despite the implementation of the Affirmative Act - a policy designed to address historical discrimination by promoting equal opportunities for individuals from previously disadvantaged groups. Its aim is to achieve equal opportunity in employment in accordance with Article 10(2) and Article 23(2) of the Namibian Constitution; redress the conditions of disadvantage in employment arising from past discriminatory laws and practices; and eliminate barriers in employment. The biggest concern in this regard is the notable absence of senior government position (executive positions) bearing San people's surnames. This

condition calls for urgent efforts to promote diversity and inclusion in the public service workforce. More efforts in implementation the Affirmative Action to the fullest would lead to a more diverse workforce in government that will enhance people's trust, strengthen democracy and bring public sector innovation, as different perspectives and skill sets contribute to designing solutions to policy challenges.

5. The survey found that there are regional skewed variations in the distribution of educational financing opportunities in the form of bursaries (NASFAF), According to the survey certain regions have consistently remained in the top 5 category of top recipients throughout the review period (2011-2022) whereas some regions, especially among high performing regions remains amongst those regions with the lowest number of NASFAF recipients. This situation underscores the urgent need for balancing the access to educational funding which is currently perceived as unequal and unjust. Given the costly nature of education in Namibia, unequal funding to funding leads to inhibited access to education and results in educational deprivation for many Namibians who needs education and this calls for educational justice. The most concerning aspect of this is the fact that this allocation does not correlate and align with the regional educational performance of eligible beneficiaries of this assistance as most of those in the lower end segment have a track record of strong educational performance according to regional rankings.
6. The survey found that national (capital) budget allocation is also disproportionately distributed along regional lines and does not reflect the regional per capita profiles. This is contrary to the acceptable practice where regions with high population density are expected to be better funded by the treasury or the Ministry of Finance because they have elevated social pressures than those with low population density
7. The survey found that land ownership in Namibia remains highly unequal as well as the number of (previously disadvantaged), mostly poor Namibians without access to land far exceed those that have access. This is due to a legacy of the lopsided distribution of arable land during the colonial era as well as land reforms policies that are biased towards the poor.

8. CONCLUSION

Following comprehensive discussions, evaluations and deliberations of the findings of the study, the Committee arrived at the following conclusions:

a) Measures[4] undertaken since independence to address poverty, inequality and unemployment have not been broadly successful, hence the country remained plagued by these challenges most of which can be traced to the historical discriminatory policy of apartheid.

4 e Consecution and Policy of National Reconciliation (PNR) in the country after Independence and that the PNR somehow lacked gradual or holistic implementation.

b) While this is largely a result of the inequalities that were engineered by colonialism and apartheid, the current governing systems (legislations and policy frameworks) could also be blamed for perpetuating poverty, inequality and unemployment through the manner in which shared prosperity has been handled.

c) There is a significant deficit in policy and legislation that can prevent the deepening of inequality and associated challenges in Namibia. A combination of factors including poor implementation of policies and legislation and lack of resources (finance and human) is the main reason for the ineffective ness of policies and legislation to address the challenges

9. RECOMMENDATIONS

In view of the above, the Standing Committee on Economics and Public Administration of the National Assembly recommends as follows:

(a) That the National Assembly consider and adopt the Report.
(b) The relevant Offices, Ministries and Agencies implement the following recommendations:

9.1. Specific Recommendations

To tackle the observed disparities in resource distribution and allocation and resulting inequalities and to achieve a more equitable and inclusive allocation of all opportunities as conceived in the Motion is a complex task and one that requires a multi-faceted approach. Consequently, the following recommendations are crucial towards ensuring that our Government, policymakers, lawmakers, public servants and society as a whole create a fairer and more inclusive economic system in which every Namibia feels contented.

9.1.1. To achieve regional balance Government must scale-up investment in regional infrastructure as one of the key strategies to bring equalized development in regions.

(a) Government through the National Planning Commission, Ministry of Finance and Public Enterprises (Treasury) and Ministry of Education, Arts and Culture should build more educational facilities in Omakeke, //Kharas, Hardap, Kunene and Erongo. These the regions with fewest educational facilities according to the infrastructure atlas of the NSA (2024).
(b) Regions with fewest Health facilities and where more health facilities need to be built are Hardap, Omaheke, Oshana, Kavango West and //Kharas regions. National Planning Commission, Ministry of Finance and Public Enterprises and Ministry of Health and Social Services should action upon this challenge.
(c) Government through Ministry of Agriculture, Water and Land Reform should build more water points in Kavango West, Oshana, Kavango East and Khomas regions.

(d) Government through National Planning Commission, Ministry of Finance and Public Enterprises and Ministry of Works and Transport should expand the road networks into the following regions, Oshana, Kavango West, Ohangwena, Kavango East and Zambezi regions.

(e) Government through Ministry of Urban and Rural Development (MURD), National Planning Commission, Ministry of Finance and Public Enterprises, Ministry of Industrialisation and Trade; and Ministry of Works and Transport should ensure that these investment in infrastructure are strategically designed and distributed to these regions so as to close the regional infrastructure gaps that exists and continue to perpetuate regional development imbalances. Building infrastructure creates jobs in the short term and supports economic growth in the long term.

(f) Government through Ministry of Industrial and Trade, National Planning Commission, Ministry of Finance and Public Enterprises and Ministry of Urban and Rural Development must develop a commodity-based industries development agenda that has a strong focus on local regional value chains and creating more efficient linkages within the economy supported by improved logistics and infrastructure. To this effect, Government must build (or establish) green schemes (agric-related projects) in the Zambezi, Kavango and //Karas regions. This initiative to be led by Ministry of Industrialization and Trade and Namibia Industrial Development Agency together with the Ministry of Agriculture, Water and Land Reform.

(g) Government through the Ministry of Urban and Rural Development, National Planning Commission, Ministry of Finance and Public Enterprises, Ministry of Industrialisation and Trade, Ministry of Works and Transport and Ministry of Agriculture, Water and Land Reform should develop and adopt policies that encourage balanced regional development, such as the decentralization of Government-led industries. Decentralization is often justified by a need to improve efficiency. It prevents agency problems between national and local governments, and local governments are assumed to be better able to adapt policy measures to local needs, priorities and local partnerships.

9.1.2. To achieve an equitable and inclusive labour market, Government must first and foremost understand the local context of the unemployment situation, challenges and remedies.

(a) Government should strengthen regional specific Active Labour Market Policies (ALMP) instruments targeting those regions with low LFPR. These ALMPs can increase the competitiveness of regions and raise the demand for labour. Initiatives includes expanding infrastructure projects in these regions via public works programs.

(b) Develop regional specific programmes for engaging job-seekers such as work readiness and occupational skills; improving community college systems to better serve disadvantaged youth; addressing barriers to work and schooling; and demand-side

policies that can improve job opportunities for job seekers (e.g., subsidized employment).

(c) Office of the Prime Minister, Public Service Commission, Ministry of Labour, Industrial Relations and Employment Creation with its reporting agencies i.e. Employment Equity Commission and Employment Services Board; as well as Ministry of Higher Education, Technology and Innovation with its reporting agencies should implement the recommendations. Ministry of Industrialisation and Trade, National Planning Commission, Ministry of Finance and Public Enterprises, Ministry of Works and Transport, Ministry of Education, Arts and Culture, Ministry of Mines and Energy and Ministry of Sport, Youth and National Service are also added as implementers of this recommendation.

9.1.3. To achieve inclusivity in appointment of senior position, Government develop merit-based employment policies couples with Proportional Allocation (quota) system.

(a) Government through the Office of the Prime Minister, Public Service Commission and Ministry of Labour, Industrial Relations and Employment Creation, Ministry of Finance and Public Enterprises with its reporting agencies should develop merit-based employment policies, open recruitment systems and robust legal protection from discrimination. This initiative will help to attract and recruit employees from under-represented groups.

(b) Develop a Proportional Allocation (quota) system. Another strategy for achieving equitable representation in senior levels positions of government and all state-owned enterprises and public companies is through a proportional distribution system. This approach ensures that senior positions are allocated in proportion to the size of the diverse groups of the country.

(c) Office of the Prime Minister, Public Service Commission, Ministry of Finance and Public Enterprises and Ministry of Labour, Industrial Relations and Employment Creation with its reporting agencies i.e. Employment Equity Commission and Employment Services Board should implement the recommendation.

9.1.4. To achieve fair and equitable educational financing opportunity, Government must remove all barriers to educational funding access and improve efficiencies in the system.

(a) To promote education funding equity, Government through the Office of the Prime Minister, Ministry of Education, Arts and Culture, Ministry of Higher Education, Training and Innovation, Ministry of Finance and Public Enterprises, Namibia Students Financial Assistance Fund, Namibia Training Authority, Namibia Qualifications Authority, Namibia College of Open Learning, University of Namibia and Namibia University of Science and Technology and all relevant stakeholders and organizations and entities, including the private sector (Namibia Chamber of Commerce and

Industries); offering education funding, financial assistance, bursaries and scholarships should adopt fair and transparent funding formulas.

(b) Develop transparent funding criteria to ensuring fairness and transparency in funding allocation. These criteria can also help prevent favoritism or bias in the process, mindful of the diversity of the Namibian society and the call for inclusivity. For instance, when distributing educational resources like scholarships, institutions can clearly define the eligibility criteria, such as academic performance, financial need, or community involvement.

(c) Government through the O/M/As listed above should make the criteria openly available, so that everyone can have an equal opportunity to understand the requirements and apply – this will promote fairness and equal access to resources.

9.1.5. To achieve proportionately allocation of the national (capital) budget, Government must increase funding to those regions that are receiving fewer budgetary allocations based on a re-allocation formula informed by a needs assessment framework.

(a) Conducting needs-based assessments to inform the budgeting (allocation) process. This approach involves evaluating the needs of individuals or communities at regional level and allocating resources based on those needs. By focusing on the specific needs of different communities, resources can be distributed more fairly, ensuring that those who require them the most receive the necessary support. Develop transparent Allocation

(b) Criteria to ensuring fairness in resource distribution. Clearly established transparent allocation criteria can help prevent favoritism or bias in the allocation process, mindful of the diversity of the Namibian society and the call for inclusiveness.

(c) Government through Office of the Prime Minister, National Planning Commission, Ministry of Finance and Public Enterprises, Ministry of Urban and Rural Development, all Regional Councils and Ministry of Gender Equality, Poverty Reduction should make the criteria openly available, so that everyone can have an equal opportunity to understand the requirements and apply – this will promote fairness and equal access to resources.

9.1.6. To achieve equal access and ownership of land, Government must allocate more land to the previously disadvantaged communities.

(a) Develop a Pro-poor[5] land reform policy. Since independence, most land policies, laws and procedures have been biased against the poor. The poor remain trapped in poverty in part because they cannot access and use land they need to grow crops, build houses and establish businesses. Without secure tenure, they have no incentive to invest in the land. Many land procedures – such as registering a piece of land or transferring it to a new owner – are too expensive for the poor to afford. The greatest challenge in land

5 . A pro poor approach is one that takes into account people living in poverty (the majority of Namibians)

reformation is to create conditions that permit land rights to generate wealth while guarding against the loss of rights for the poor. For the government therefore, the greatest opportunities for economic development lie in the use of individual properties as investments and financial instruments, while the protection of commonages will better safeguard the land rights of the poorest residents in communal areas.

(b) Reduce and control the dominance of the elites in the land redistribution process. While the process of policy development itself is biased against the poor, it is dominated by the elites such as powerful politicians, commercial interests, land owners and developers, and technical specialists such as lawyers and surveyors. The poor have little political clout, and they lack the technical background and resources to contribute to the policy discussion. Pro-poor policies are therefore needed to overcome these barriers. Such policies should provide a range of land rights, suited to different situations.

(c) Government must create a fund through the Treasury process aimed at make access to land affordable for the poor. Government through these pro-poor fund should ensure that the poor have access to land and land services, at a price they can afford. They should give security of tenure – at a minimum, preventing people from being arbitrarily evicted from their farms or plots.

(d) The Ministry of Agriculture, Water and Land Reform in collaboration with National Planning Commission, Ministry of Finance and Public Enterprises and Ministry of Urban and Rural Development and all relevant stakeholders should lead this initiative.

While these are direct recommendations as per the findings of the survey, the committee is nonetheless cognizant of the long-term and broader challenges that would require more long-term and broader recommendations going forward.

10. Implementation of recommendations of Committees

In accordance with the Committee Rules of the National Assembly, when the Assembly accepts, with or without amendments, any recommendation of a Standing Committee on any subject, and the recommendation requires an Office, Ministry, Agency or Government Entity to perform or to refrain from performing an action, the Office, Ministry, Agency or Government Entity must comply with the recommendation of a Committee adopted by the Assembly, within a period of three (3) months or earlier.

SIGNATURES

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Hon. Natangue Ithete (Chairperson)

Date 13/02/2025

.....
Hon. Mathias Mbundu
(Deputy Chairperson)

Hon. Dr Tobie Aupindi .....

Hon. Apius! Auchab .....

Hon. Yvette Araes .....

Hon. Bertha Dinyando .....

Hon. Elifas Dingara .....

Hon. Reginald Diergaardt .....

Hon. Maria Elago .....

Hon. Hamunyera Hambyuka .....

Hon. Maria Kamutali .....

Hon. Sebastiaan Karupu .....

Hon. Johanna Kandjimi .....

Hon. Marina Kandumbu .....

Hon. Gotthard Kasuto .....

Hon. Dr Daniel Kashikola .....

Hon. Helaria Mukapuli .....

Hon. Fennie Nanyeni .....

Hon. Nico Smit .....

Hon. Kennedy Shekupakela .....

Hon. Jennifer Van Den Heever .....